TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Sources: RBA, Westpac, Reuters, AMP
Wednesday 11 November 2026

Has the RBA finished raising rates?

> The RBA raised the cash rate to **4.85%** on 3 November, an 18-year high and its **fifth rise this year**. A week later, the slump in consumer and business surveys has markets betting that it is done.

WHAT HAPPENED

- The board raised the cash rate by **0.25 percentage points to 4.85%**. The vote was **split**: three members preferred to hold.
- Governor Bullock pointed to **excess domestic demand**, capacity pressures, weak **productivity** and the boom in **data-centre investment**. High oil prices add to costs, but she said monetary policy cannot change oil prices.
- Since then, **consumer sentiment** has hit a 4-year low and **business conditions** a 6-year low.
- Swaps put an **82%** chance on rates having peaked. Westpac expects a **pause** on 7–8 December, and AMP says the surveys are early signs the rises are working.

Cash rate: the RBA's target for the overnight interbank interest rate
Contractionary policy: higher rates to slow demand and inflation
Time lags: rate changes take many months to affect spending and prices

KEY NUMBERS

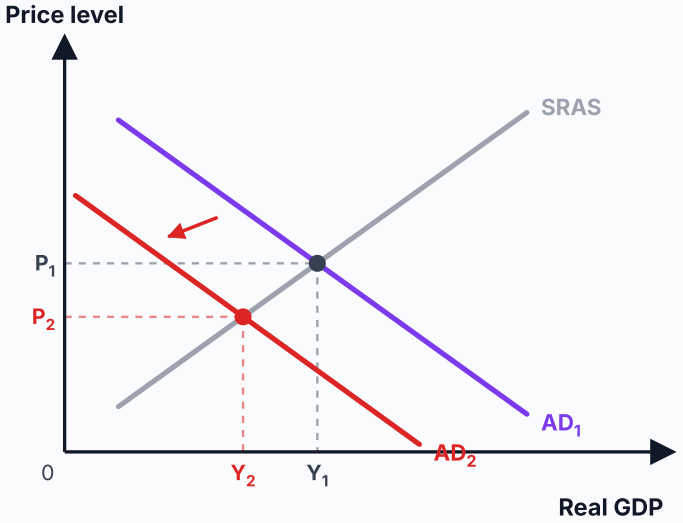
4.85%
Cash rate, an 18-year high

5
Rate rises in 2026 (from February)

82%
Market chance rates have peaked

7–8 Dec
Next RBA board meeting

DIAGRAM Higher rates slow aggregate demand



Higher interest rates increase mortgage repayments and borrowing costs, so **consumption and investment** fall. Aggregate demand shifts from **AD_1 to AD_2**.

The price level falls (or rises more slowly) from **P_1 to P_2**, but real output also falls from **Y_1 to Y_2**.

This week's surveys suggest the shift is under way.

Exam angle: monetary policy is less effective against **supply shocks** such as oil, and works with **long and variable lags**, so the RBA risks overshooting and causing a sharper slowdown.

FLOW CHART The transmission mechanism in 2026

RBA lifts cash rate to 4.85% → Mortgage and business loan rates rise → Sentiment and spending fall → Aggregate demand slows → **Inflation eases towards 2–3% target**

SYLLABUS LINK

Topic 4 – monetary policy: implementation, transmission mechanism, effectiveness and limitations (time lags, supply shocks).

TRY THIS

Using evidence from November 2026, assess the effectiveness of monetary policy in reducing inflation in Australia.
(6 MARKS)

RBA – Media conference, monetary policy decision, 3 Nov 2026: https://rba.gov.au/speeches/2026/mc-gov-2026-11-03.html
investingLive – Australian consumer sentiment sinks to four-year low: https://investinglive.com/news/australian-consumer-sentiment-sinks-to-four-year-low-as-rates-and-living-costs-bite/
Business Recorder (Reuters) – Aussie steadies: https://www.brecorder.com/news/40448242/aussie-steadies-as-oil-fuelled-risk-rally-offsets-weak-domestic-surveys

Diagrams are illustrative, not to scale